

BUSINESS ANALYTICS REPORT

Project: Customer Behaviour & Business Performance Analysis – ABC Communications Ltd

Dataset: Telco Customer Churn **Prepared by:** Ojo Precious Mojolaoluwa

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2. BUSINESS UNDERSTANDING

2.1 What is customer churn?

Customer churn (attrition) is the percentage of customers who stop using a company's services within a given period.

2.2 Why churn matters to ABC Communications

Acquiring a new customer costs far more than retaining an existing one. Every churned customer represents lost recurring revenue, wasted acquisition spend and potential negative word-of-mouth.

2.3 Objectives of this analysis

- Profile the customer base (demographics, services, contracts, payment behaviour).
- Identify which customer segments churn the most.
- Test whether contract type, tenure, services and payment method influence retention.
- Translate findings into actionable retention recommendations for management.

2.4 Methodology

The analysis followed a structured workflow: business understanding → data loading and inspection (see **Dataset Inspection Report**)

3. BUSINESS INSIGHTS, RISKS & OPPORTUNITIES

3.1 BUSINESS INSIGHTS

Contract flexibility is the biggest churn driver: month-to-month customers churn at $\approx 43\%$ vs $\approx 2\%$ for two-year contracts.

Fiber optic is the highest-risk product: $\approx 42\%$ churn – more than double the DSL rate – despite being the premium, high-revenue service.

Payment friction predicts churn: electronic-check payers churn at $\approx 45\%$, vs 15–19% for automatic/mailed methods.

Churn is an early-lifecycle problem: the tenure histogram shows a heavy 0–5-month spike, and tenure correlates -0.35 with churn; customers who survive the early period tend to stay long-term (70+ month cluster).

High spenders leave fastest: churned customers' median monthly charge is $\approx \$80$ vs $\approx \$64$ for retained customers (box plot), confirmed by the +0.19 MonthlyCharges

3.2 BUSINESS RISKS

Revenue erosion from premium segments – losing high-bill Fiber and electronic-check customers disproportionately damages monthly recurring revenue and lifetime value (Tenure–Total Charges = +0.83).

Wasted acquisition spend – the large spike of 0–5-month customers who churn means marketing costs are never recovered on many accounts.

Competitor poaching – flexible-contract, price-sensitive customers (and mildly, senior citizens at +0.15) are easy targets for competitor win-back offers.

3.3 OPPORTUNITIES

Contract conversion – moving even 20–30% of month-to-month customers to 12-month contracts would cut churn dramatically.

Payment migration – incentivising switches from electronic check to auto-pay (credit card / bank transfer) reduces involuntary churn.

Early-lifecycle retention – a structured first-90-days onboarding and check-in programme targets the danger zone; the loyal 70+ month cohort can be leveraged for referrals and win-back campaigns.

4 RECOMMENDATIONS

Launch a "Loyalty Lock-In" campaign: offer a discount or free add-on (e.g., streaming bundle) to month-to-month customers who upgrade to a one-year contract, prioritising Fiber optic users.

Run an auto-pay incentive: give a one-time account credit to electronic-check users who switch to credit-card or bank-transfer billing.

Create a First-90-Days customer success programme: proactive onboarding calls, setup support and satisfaction surveys for new joiners to close the early-tenure churn spike.

Audit the Fiber optic experience: investigate pricing, installation and service quality behind the $\approx 42\%$ Fiber churn rate; align bill value with customer expectations.

Build a churn early-warning dashboard: flag customers with the high-risk combination (tenure < 12 months + month-to-month contract + electronic check + high monthly charge) and trigger automatic retention offers.